[1] The Reserve Bank imposes a ceiling on the interest rate that NBFCs can offer on the deposits they mobilize, but this ceiling is typically higher than the maximum interest that banks offer.

[2] According to the definition given by Chit Funds Act 1982, ‘chit’ means a transaction whether called ‘chit’, ‘chit fund’, ‘chitty’, ‘kuri’ or by any other name by or under which a person enters into an agreement with a specified number of persons that every one of them shall subscribe a certain sum of money (or a certain quantity of grain instead) by way of periodical instalments over a definite period and that each such subscriber shall, in his turn, as determined by lot or by auction or by tender or in such other manner as may be specified in the chit agreement, be entitled to the prize amount. (See more at: http://business.mapsofindia.com/investment-industry/chit-funds.html#sthash.ONkcMyph.dpuf.)

[3] Converted into law with the approval of the state legislature in December 2010.

[4] The Modi government has since established MUDRA (Micro Units Development and Reform Agency) as an agency to refinance and supervise microfinance operations.